CONTROL ACCOUNTS

Control accounts are so called because they control a section of the ledgers. By control we mean that the total on the control accounts should be the same as the totals on the ledger accounts. There are two main types of control accounts:

(i) **Sales ledger control Account** – also called total debtors. The balance on the sales ledger control account should be the same as the total of the balances in the sale ledger.

(ii) **Purchases Ledger Control Account** – also called total creditors .The balance carried down (Bal c/d) on the purchases Ledger Control Account should be the same as the total of the balances in the purchases ledger.

Example (Sales Ledger Control a/c)

Sales Ledger Control A/c

Sales	1400	CashBook	700
		Bal C/D	700
	1400		1400

Sales = 200 + 300 + 400 + 500
Cashbook = 50 + 100 + 250 + 300
Balance c/d = 150 + 150 + 200 + 200

SALES LEDGER

Debtor A a/c

Sales	200	C/B	50
		Bal c/d	150
	200		200

Debtor B a/c

Sales	400	C/B	250
		Bal c/d	150
	400		400

Debtor C a/c

Sales	300	C/B	100
		Bal c/d	200
	300		300

Debtor D a/c

Sales	500	C/B	300
		Bal c/d	200
	500		500

Example: Purchases Ledger Control a/c

Purchases Ledger Control a/c

C/B	1900	Purchases	2600
Bal c/d	700		
	2600		2600

PURCHASES LEDGER

Creditor A

C/B	400	Purchases	600
Bal c/d	200		
	600		600

Creditor B

C/B	450	Purchases	700
Bal c/d	250		
	700		700

Creditor C

C/B	350	Purchases	500
Bal c/d	150		

	500		500

Creditor D

C/B	700	Purchases	800
Bal c/d	100		
	800		800

Purpose of Control Accounts

1. Provide for arithmetical check on the postings made in the individual accounts (either in the sales ledger or purchases ledger.)
2. To provide for a quick total of the balances to be shown in the trial balance as debtors and creditors.
3. To detect and prevent errors and frauds in the customers and suppliers account.
4. To facilitate delegation of duties among the debtors and creditors clerks.

FORMAT OF A SALES LEDGER CONTROL

Sales Ledger Control a/c

1. Balance b/d of the total debit balances from previous period	1. Total credit balances of the sales ledger brought forward
2. Total credit sales for the period (from the sales journal)	2. Total cash received from credit customers/debtors (from cash book)
3. Refunds to customers (from cashbook)	3. Total cheques received from credit customers/debtors (from cash book)
4. Dishonored cheques (from cashbook)	4. Total returns-inwards (returns-inwards journal)
5. Bad debts recovered (from general journal)	5. Total cash discount allowed to customers (from cash book)
	6. Bad debtors written-off (from general journal)
	7. Cash received from bad debtors recovered (cash book)
	8. Purchases Ledger contra
	9. Allowances to customers (price reduction in excess to discounts allowed)
6. Total credit balances of the sales Ledger carried forward	10. Total debit balance carried down to the next period – to be derived after posting all those transactions

Refunds to Customers

Sometimes a firm can refund some cash on the customers account. This takes place when there is a credit balance on the debtor's a/c and the customer is not a creditor too.

The entry will be:

Dr. Debtor's a/c

Cr. Cashbook

Example:

Debtor A

	£		£
Sales	1000	Cashbook	950
(Refunds) C/B	100	Discounts	50
		Returns	100
	1100		1100

If the firm has not paid this amount owed to the customer, then it's carried forward to the next period then is a credit balance in the customer's a/c. Therefore, if a firm has several customer, this information will be shown in the control a/cs as total balance c/f

(debit side).

Contra against the purchases ledger balances:

Some debtors may also be creditors in the same firm and therefore, if the amount due to them as creditors is less than what they owe as debtors, then the credit balance is transferred from their creditors a/c to their debtors a/c as a contra entry.

Example:

Debtor (A)

Sales	2000	Contra- purchases	1000
		Bal c/d	1000
	2000		1100

Creditor (A)

Contra - Debtor	1000	Purchases	1000

FORMAT OF A PURCHASES LEDGER CONTROL ACCOUNT

Purchases Ledger Control A/C

1. Total debit balances from purchases ledger brought forward from previous period	1. Total credit balance brought forward (of purchases ledger from the previous period)
2. Total cash paid to creditors (from cash book)	2. Total credit purchases for the period (from purchases journal)
3. Total cheques paid to creditors (from cash book)	3. Refunds from suppliers (from cash book)
4. Total cash discounts received (from cash book)	
5. Allowances by suppliers	
6. Sales ledger contra	
7. Total returns outwards (from returns-outwards journal)	
8. Total credit balance (to be derived after posting entries)	4. Total debit balances (of the purchases ledger carried forward)

NOTES:

The following notes should be taken into consideration:

1) Cash received from CASH SALES should NOT be included in sales ledger control a/c.
2) Only cash discounts (allowable & receivables) should be included. Trade discounts should NOT be included.
3) Provision for doubtful debts is NOT included in the sales ledger control a/c. i.e. increase or decrease in provisions for doubtful debts will not affect this account.
4) Cash purchases are NOT posted to the Purchases Ledger Control A/C. However in some cases it can be included especially where there are incomplete records (Topic to be covered later).
5) Interest due that is charged on over due customers' account may also be shown on the debit side of the sales ledger control. However when trying to determine the turnover under incomplete records then it is wise to omit it.

Example 5.1

You are required to prepare a purchases ledger control account from the following for the month of June. The balance of the account is to be taken as the amount of creditors as on 30 June.

2003		£
June 1	Purchases ledger balances	36,760
	Totals for June:	
	Purchases journal	422,570
	Returns outwards journal	10,980
	Cheques paid to suppliers	387,650
	Discounts received from suppliers	8,870
June 30	Purchases ledger balances	?

Solution

Purchases Ledger Control A/C

2003	£	2003	£
Returns out	10,980	Bal b/d (1/6)	36,760
Bank	387,950		
Discounts received	8,870		
Bal c/d (30/6)	51,830	Purchases	422,570

	459,330	459,330

Example 5.2
Prepare a sales ledger control account from the following:

		£
2003		
May 1	Debit balances	64,200
	Totals for May:	
	Sales journal	128,000
	Cash and cheques received from debtors	103,700
	Discounts allowed	3,950
	Debit balances in the sales ledger set off against credit balances in the purchases ledger	1,450
May 31	Debit balances	?
	Credit balances	500

Solution

Sales Ledger Control A/C

2003		£	2003		£
1/5	Bal b/d	64,200		Cash book	103,700
	Sales	128,000		Discounts allowed	3,950
				Purchases contra	1,450
31/5	Bal c/d	500	31/5	Bal c/d	83,600
		192,700			192,700

REVISION QUESTIONS INCOMPLETE RECORDS
EXAMPLE
G Mwangi had the following assets and liabilities on the dates shown.

	01.04.2011	**31.03.2012**
Premises	3,150,000	3,150,000
Furniture	540,000	540,000
Motor car	162,000	---
Stock in trade	565,200	668,700
Trade debtors	355,500	366,300
Trade creditors	716,400	837,000
Loan from industrial bank	1,080,000	---
Wages and salaries due	82,800	67,500
Prepaid rates	22,500	32,400
Rent received in advance	36,000	61,200
Capital	3,274,200	---

He did not maintain his accounting records in a double entry system. He however, kept a cash book with discount columns and a file of invoices issued and received. The summary of his cash transactions during the year ended 31st March 2012 is given below.

CASH SUMMARY

	SH.		**SH.**
Balance b/f	394,200	Trade creditors	4,523,400
Trade debtors	5,517,900	Cash purchases	732,600
Cash sales	1,922,400	wages and salaries	748,800
Rent	558,000	Rates and insurance	147,600
Capital (G. Mwangi)	450,000	Transport	253, 800
		Bank charges	13,500
		General expenses	654,300
		Loan interest	54,000
		Loan repayment	900,000
		New motor car	270,000
		Drawings	324,000
		Balance c/f	220,500
	8,842,500		**8,842,500**

The following additional information is available.

a.) Discount allowed during the year amounted to sh. 110,700 and discount received to. Sh. 122,400.

b.) During the year Mwangi took goods from the business costing sh. 45,000 for his personal use without paying for them.

c.) Motor cars are subject to an annual depreciation of 20% on book value, the new motor car was bought on 1st January, 2012.

Required

i. Income statement for the year ended 31st March, 2012.

ii. Statement of financial position as at that date.

QUESTION ONE

Joyce Njeri runs a City Market stall selling curios of all descriptions. Most of her sales are for cash, although regular customers are allowed credit. No double entry accounting records have been kept, but the following information is available.

Net Assets Summary at 31 March 1999

	Sh. '000'	Sh. '000'
Motor Van (Pick up)		
Cost		3,000
Depreciation		2,500
Net Book value		500
Current Assets		
Stock	500	
Debtors	170	
Cash at bank	2,800	
Cash in hand	55	
	3,525	
Current liabilities		
Creditors	230	
Net current assets		3,295
Net assets		3,795

Additional information:

1. Joyce Njeri bought a new motor van in January 2000 receiving a part-exchange allowance of Sh.1,800,000 for her old van. A full year's depreciation is to be provided on the new van, calculated at 20% on cost.
2. Joyce Njeri has taken Sh.50,000 per week for her personal use. She also estimates that petrol for the van, paid in cash, averages Sh.10,000 per week.
3. Other items paid in cash during the year were:
   - Sundry expenses Sh.24, 000
   - Repairs stall roof Sh.201,000
4. Joyce Njeri makes a gross profit of 40% on selling prices. She is certain that no goods have been stolen but remembers that when her friend Anne Mwende was getting married, she gave her a wedding gift of curios worth Sh.100,000. Earlier in the year, she had presented curios worth Sh.200,000 to her mother to be sold at her brother's university fees fundraiser. Both these figures are stated at selling prices.
5. Trade debtors and creditors at 31 March 2000 are Sh.320,000 and Sh.233,000 respectively, and cash in hand amounts to Sh.39,000. No stock count has been made and there are no accrued or prepaid expenses.

A summary of bank statements for the twelve months shows:

	Sh. '000'
Credits	
Cash banked (all cash sales)	7,521
Cheques banked (all credit sales)	1,500
Dividend income	210
	9,231
Debits	
Purchase of motor van	3,200
Road license	80
Insurance on van	323
Creditors for purchases	7,777
Rent	970
Sundry	31
Accountancy fees	75
Bank overdraft interest	20

Returned cheque (assumed bad debt)	29
	12,505

Interest amounting to Sh.27, 000 on bank overdraft for six months ended 31 March 2000 was debited in the bank statement on 1 April 2000.

Required:

Joyce Njeri's trading and profit and loss account for the year to 3 1 March 2000 and a balance sheet as at that date. (Assume a 52-week year). **(20 marks)**

QUESTION TWO

Nzioka is a grocer who had not kept complete books of account. The following was a summary of his bank statements for the ear ended 31 October 2000:

	Sh.		Sh.
Amounts credited by bank	7,034,000	Balance 1 November 1999	178,400
		Payments to trade creditors	6,100,000
		Rent and rates	95,000
		Fixtures	20,000
		Lighting and heating	42,000
		General expenses	160,000
		Loan interest	24,000
		Drawings	180,000
		Customer cheque dishonoured	36,000
		Balance 31 October 2000	198,600
	7,034,000		7,034,000

The following information is also available

1. Trading receipts consists partly of cash and party of cheques. During the year. Nzioka had paid out of his cash takings wages amounting to Sh.590.000 and sundry expenditure of Sh 28.000. He retained Sh.600 a week (assume 52 ~weeks in a year) pocket money and maintained a balance of Sh.4.000 in the till tot-change. The balance of his takings. together with cheques amounting to Sh.50,000 which he had cashed out of his takings was paid into the bank.
2. Cheque drawn payable to trade creditors. But not presented at I November 1999 amounted to Sh56000 and at 3I October 2000 Sh.64.000.
3. All dishonoured cheques were re-presented and honoured during the year.
4. The loan interest was paid to the lender who had lent Nzioka Sh.800.000 some years ago at a rate of 3°o p.a. The interest was duly paid half-yearly on 31 January and 31 July and the loan was still outstanding at the close of the year.
5. Discounts allowed by trade creditors amounted to Sh.96.000 and those allowed to debtors were Sh. 104.000.

	As at 1 November 1999	31 October 2000
	Sh.	Sh.
Stocks	900,000	1,600,000
Trade debtors	560,000	640,000 (includes a bad debt Sh. 40,000)
Accrued general expenses	48,000	38,000 (to be written off)
Rates paid in advance	8,000	10,000
Fixtures valued at	560,000	510,000
Trade creditors	360,000	440,000
Creditors for lighting and heating	16,000	14,000

Required:

(a) A statement of Nzioka's capital on 1 November 1999. (10 marks)

(b) Profit and loss account for the year ended 31 October 2000 and a balance sheet at that date. (I5 mark)

(Total: 25marks)

QUESTION THREE

Kimeu commenced his business of making furniture on 1 April 2000. Due to his limited accounting knowledge he has not maintained proper books of account. You have been engaged to examine his records and prepare appropriate accounts therefrom. You perform an examination of the records and from interviews with Kimeu, you ascertain the following information:

i) At the commencement of business on 1 April 2000, he deposited Sh.1,200,000 into a business bank account. On the same day he brought into the firm his pickup and estimated that it was worth Sh.660,000 then and that from 1 April 2000 it will have useful life of three years.

ii) To increase his working capital he borrowed Sh.400,000 at 15% interest per annum on 1 July 2000 from his sister but no interest has yet been paid.

iii) On 1 April 2000, Sally was employed as a clerk at a salary of Sh.720,000 per annum.

iv) He had drawn Sh.18,000 per week from the business account for private use during the year.

v) He purchased timber worth Sh.1,960,000 out of which Sh.158,000 worth of stock was retained in the workshop on 31 March 2001. He also spent Sh.960,000 on the purchase of some equipment at the commencement of the business which he estimates will last him five years.

vi) Electricity bills received up to 31 January 2001 were Sh.240,000. Bills for the remaining two months were estimated to be Sh.48,000. Motor vehicle expenses were Sh.182,000 while general expenses amounted to Sh.270,000 for the year. Insurance premium for the year to 30 June 2001 was Sh.160,000. All these expenses have been paid by cheque.

vii) Rates for the year to June 2001 were Sh.36,000 but these had not been paid.

viii) Sally sent out invoices to customers for Sh.6,178,000 but only Sh.5,080,000had been received by 31 March 2001. Debts totalling to Sh.17,000 were abandoned during the year as bad. Other customers for jobs too small to invoice have paid Sh.726,000 in cash for work done of which Sh.560,000 was banked . Kimeu used Sh.75,000 of the difference to pay for his family's food stuff bought Kenya Charity Sweepstake tickets worth Sh.24,000 and Sally used the rest on general expenses except for Sh.30,100 which was left over in the drawer in the office on 31 March 2001.

ix) You agree with Kimeu that he will pay you Sh.55,000 for accountancy fee.

Required:

a) Profit and loss account for the year ended 31 March 2001. (10 marks)

b) Balance sheet as at 31 March 2001. (10 marks)

(Total: 20 marks)

QUESTION FOUR

Muthusi is a businessman operating a retail business in a small town. Due to the size of his business, he is not able to employ a qualified accountant on a permanent basis.

The following information was extracted from the books of the business as at 31 October 2002:

	Shs.
Freehold property (cost)	600,000
Motor vehicles (NBV)	750,000
Furniture and fixtures (NBV)	240,000
Stock	390,000
Trade debtors	500,000
Bank overdraft	60,000

Trade creditors	380,000
Accruals	15,000
10% loan	600,000
Provision for doubtful debts	25,000

The following transactions took place during the financial year ended 31 October 2003:

i) Sales and purchases on credit amounted to Sh.2,080,000 and Sh.1,900,000 respectively.

ii) The following transactions were carried out through the bank account:

	Shs.
Sales – Cash	720,000
Purchases – Cash	240,000
Payments to trade creditors	1,940,000
Purchase of furniture	200,000
Salaries and wages	160,000
Lighting	65,000
General expenses	35,000
Interest on loan	30,000
Drawings	60,000
Repayment of loan on 30 April 2003	100,000
Collections from trade debtors	1,890,000
Proceeds from sale of motor vehicle	120,000

iii. The business depreciates motor vehicles at 20% per annum on a reducing balance basis. A full year's depreciation is provided on a motor vehicle acquired in the course of the year and no depreciation is provided on a motor vehicle disposed of in the course of the year.

iv. The motor vehicle sold in the year had been purchased at Sh.250,000 and an accumulated depreciation of Sh.122,000 had been provided on it at the time of disposal.

v. Furniture is depreciated at 10% per annum on cost and in proportion to the period used in the year. The additional furniture was purchased on 1 May 20903 while the cost of furniture held on 31 October 2002 was Sh.400,000

vi. Loan interest paid was for one-half year up to 30 April 2003

vii. The business received discounts of Sh.40,000 and allowed discounts of Sh.70,000 during the year.

viii. Bad debts of Sh.20,000 were written off. Provision for doubtful debts is to be maintained at 5% of the debtor's balance at the end of the year.

ix. Accruals are in respect of lighting and on 31 October 2003, the amount accrued was Sh.19,000

x. Muthusi's business obtains a normal gross profit rate of 25% on selling price.

Required:

(a) Trading and profit and loss account for the year ended 31 October 2003 (12 marks)

(b) Balance sheet as at 31 October 2003. (8 marks)

(Total: 20 marks)

QUESTION FIVE

Mali Mingi is the sole distribution agent of roofing sheets in Mombasa. Under an agreement with the manufacturers, Mabati Ltd., Mali Mingi purchases roofing sheets from Mabati Ltd. at a trade discount of 20% of the list price. Every year in the month of May, Mali Mingi receives an agency commission of 1% of his purchases for previous year ended 31 March.

Mali Mingi has been making a gross profit of 40% on all sales. In a burglary that occurred in January 2004, Mali Mingi lost stock costing Sh.480,000 as well as the bulk of his accounting records.

After thorough investigation, the accountant has obtained the following information relating to the year ended 31 March 2004:

1. Assets and liabilities as at 31 March 2003 were:

	Sh.
Buildings at cost	1,200,000
Provision for depreciation on buildings	720,000
Motor vehicles at cost	600,000
Provision for depreciation on motor vehicles	240,000
Stock at cost	384,000
Trade debtors (sales)	756,000
Prepayment (Trade expenses)	14,400
Agency commission receivable	36,000
Balance at bank and cash in hand	517,200
Trade creditors	504,000
Accrued motor vehicle expenses	27,600

2. Mali Mingi has been notified that he will receive an agency commission of SH. 52,800 on 1 May 2004. Commissions are paid directly to the bank.
3. Stock, at cost, at 31 March 2004 was valued at Sh.360,000 more than the value as at 31 March 2003. In October 2003, stock worth Sh.120,000 was scrapped as worthless.
4. Other details relating to the period up to 31 March 2004 are as follows:

	Sh.
Discounts allowed	194,400
Discounts received	144,000
Prepaid trade expenses	9,600
Motor vehicle expenses	842,400

5. Balances as at 31 March 2004:

	Sh.
Trade creditors at list prices	1,140,000
Trade debtors	804,000

6. Depreciation is provided at the following rates:
   Buildings – 5% per annum on cost
   Motor vehicles – 20% per annum on cost
7. In addition to purchases, the following payments were made through the bank:

	Sh.
Motor vehicle expenses	806,400
Drawings	516,000
Trade expenses	883,200

8. All receipts pass through the bank and Mali Mingi is not insured against burglary.
9. The agency commission due as at 31 March 2003, was received during the year through the bank.
10. All purchases and sales are on credit.

Required:

(a) Trading and profit and loss accounts for the year ended 31 March 2004. (10 marks)
(b) Balance sheet as at 31 March 2004. (10 marks)
(Total: 20 marks)

QUESTION SIX

Jackson Ndambuki, a businessman in Kangundo, does not maintain a double entry bookkeeping system.
On 1 July 1994 his capital was Sh. 172,500. An analysis of his cashbook for the year to 30 June 1995 gives the following particulars:

	Sh.
Debit Side Received from sundry debtors	150,000
Paid in on capital account	12,500
Credit side Due to bank on 1 July 1994	18,500
Payment to sundry creditors	62,500
General business expenses	25,000
Wages paid	38,750
Drawings	7,500

Other balances on 30 June	**1994**	**1995**
	Sh	**Sh.**
Sundry debtors	132,500	220,000
Sundry creditors	37,500	48,750
Stock in hand	42,500	47,500
Plant and machinery	50,000	50,000
Furniture	3,500	3,500

Discounts allowed and received amounted to Sh. 15,000 and Sh.7,500 respectively. Interest of 5 per cent per annum is to be provided on capital at the beginning of the year. **(Ignore payments in and drawings)**
Depreciate plant and machinery at 10 per cent and furniture at 5 per cent on the book value. A provision for doubtful debts of 5 per cent is to be made on sundry debtors.

Required:

(a) Trading, Profit and Loss Account for the year ended 30 June 1995. (10 marks)
(b) Balance Sheet as at that date. (10 marks)
(Total: 20 marks)